

ONTERRIS INC ONT

August 04, 2026 - 12:31pm EST

by PZGR39

			2026	2027
Price:	22.92	EPS	0	0
Shares Out. (in M):	36	P/E	0	0
Market Cap (in \$M):	830	P/FCF	0	0
Net Debt (in \$M):	377	EBIT	0	0
TEV (in \$M):	1,207	TEV/EBIT	0	0

Description

Onterris (NYSE:ONT), formerly known as Montrose Environmental Group, is a beaten down environmental consulting, services, and response company trading at just 8.6x NTM EBITDA that we believe is deeply undervalued today due to misplaced fears about recent EPA/Supreme Court rulings and a short report. We believe that over the next 5 years, ONT will rerate towards other environmental consulting/service peers at ~13x while over doubling its EBITDA. Our PT of ~\$72/share represents a ~210% upside vs the stock price today of \$23.

Background:

Onterris Inc was founded in 2012 and IPO'd in July 2020 at ~\$230mm of revenue. They are an environmental services roll up, with a platform covering measurement, consulting, and treatment. Revenue has compounded at 20% over the last 5 years, with 90% from private sector customers. Mgmt targets a 7-9% organic growth rate with 10-15% inorganic contribution.

The business operates in 2 segments: Consulting & Treatment and Measurement & Analysis. Of note, the Consulting & Treatment segment is a combination of two legacy segments (Assessment, Permitting & Response and Remediation & Reuse), which the company combined in Q1 2026.

Consulting & Treatment combines environmental/regulatory consulting, a highly variable environmental emergency response business, and their fast growing PFAS water treatment business as well as soil/air remediation services. This segment has HSD/low DD organic growth rates but has a lumpier headline growth profile due to acquisitions and irregular emergency response revenue.

Measurement & Analysis offers soil, air, and water quality testing and analysis through a lab network spanning the US and Canada. As the segment is more mature, it has MSD/HSD organic growth rates.

Timeline:

April 10, 2024 - Biden EPA places limits on maximum allowable levels of PFAS in drinking water. This is set to 4 parts per trillion (ppt) for PFOA and PFOS and 10ppt for GenX, PFNA, and PFHxS. Compliance is mandated by 2029.

April 17, 2024 - Biden EPA designates PFOA and PFOS as hazardous substances under CERCLA, mandating immediate reporting of releases over 1 pound and placing cleanup liability on responsible parties.

June 28, 2024 - Supreme Court overturns Chevron deference doctrine in Loper Bright v. Raimondo.

Sept 30, 2024 - Jehoshaphat Research short report

May 14, 2025 - Trump EPA keeps PFOA and PFOS limits unchanged, removes limits on the other 3 PFAS (GenX, PFNA, PFHxS), and extends compliance deadline to 2031.

Sept 17, 2025 - Trump EPA retains CERCLA designation for PFOA and PFOS

Why Now

ONT's first major drawdown occurred on June 28, 2024 when the Supreme Court overturned the Chevron doctrine in Loper Bright v. Raimondo. Chevron required courts to defer to regulatory agencies' "reasonable interpretation" of ambiguous statutes. The overturning ignited fears that without Chevron, the

interpretation of environmental regulations was now in the hands of courts, weakening the regulatory power of the EPA. This was followed by Trump winning the election in November and a subsequent review of Biden-era PFAS regulations. This resulted in the stock drawing down from \$45 in June 2024 to \$11 by April 2025.

We believe these concerns were overblown and ultimately resulted in a net tailwind for ONT's business. First, the Chevron doctrine only bounded federal courts/agencies - states responded preemptively to the weakening of federal regulatory power with a firehose of state-level regulations. In 2025, 29 states adopted independent PFAS limits and 6 more are considering limits in 2026, with the remaining states being mostly smaller, less-industrialized ones. Second, the EPA's partial rollback ultimately kept the two most important items: hard limits on PFOS/PFOA levels and CERCLA designation. The EPA additionally proposed UCMR 6 on July 1, 2026, potentially enforcing mandatory nationwide monitoring for 30 unregulated contaminants, including 4 previously unmonitored short-chain PFAS, which would start in 2028 and applies to all water systems servicing >3,300 people. Finally, the devolution of environmental regulations to the states will significantly benefit ONT's consulting and advisory business, as a patchwork of complex and evolving state-level regulations is far more difficult to navigate than the previous unified standard.

We would also like to discuss the short report from Jehosaphat Research published Sept 30, 2024. The report alleged several serious issues with the company, namely that 1) organic growth was masked by acquisition accounting and was structurally negative and 2) FCF and Adj. EBITDA were overstated by ~80% due to high SBC and recurring add-backs. Onterris responded in Q4 2024 by cancelling all outstanding mgmt SARs without compensation, removing all M&A incentives from mgmt's STIP, pausing M&A for FY2025 to focus on unifying and improving the core business, undergoing an independent audit, and cleaning up the balance sheet by committing to redeem all outstanding preferred equity by EOFY25.

With these measures in place, ONT reported FY25 results of 12.7% organic growth, 93% adj. EBITDA to OCF conversion, SBC down from 9.3% of sales to 5.1% of sales, all outstanding preferreds redeemed on July 1, 2025 (6 months ahead of schedule), and a clean audit result. Management adopted a remedy for every critique and the company now has a clean balance sheet, improved governance, reasonable SBC plans, and a validated organic growth/cash flow profile.

Additionally, the board granted 1.8mm RSUs during the Dec 2021 peak, of which half vested in Dec 2025 with the remaining half due to vest Dec 2026. This will result in SBC continuing to fall from 5.1% of sales today to ~3% in FY27 and further declining from there.

Valuation

Today, ONT trades at just 8.6x NTM EBITDA vs environmental services peers at ~13x. Mgmt has guided for a LT organic growth rate of 7-9%, and expects to restart bolt-on acquisitions this year. We believe ONT will be able to grow total revenue at a low-teens CAGR from accelerating contribution from the PFAS water treatment business and MSD inorganic contribution, resulting in FY30 revenue of \$1.4bn vs \$830mm today. With operating leverage and expected margin improvements from the FY25 investments on top of the SBC winddown, we expect EBITDA margin to expand from 14% in FY25 to 19% by FY30. This should result in FY30 EBITDA of \$268mm vs \$116mm today and an implied share price of \$72/share.

2. INCOME STATEMENT — ANNUAL (FY2020A–FY2030E)											
USD thousands	FY2020A	FY2021A	FY2022A	FY2023A	FY2024A	FY2025A	FY2026E	FY2027E	FY2028E	FY2029E	FY2030E
C&T organic revenue	28,436	132,955	241,984	278,713	339,779	494,928	550,416	605,338	675,366	759,095	854,922
C&T organic revenue growth YoY %		19.0%	33.9%	(1.9%)	1.2%	16.7%	8.4%	8.5%	8.0%	8.0%	8.0%
Emergency response revenue	65,000	212,500	88,000	91,400	48,000	77,000	60,000	55,000	55,000	55,000	55,000
Acquired revenue — C&T	83,250	47,750	42,000	57,000	84,250	12,750	7,500	20,000	27,500	32,500	37,500
C&T total revenue	176,686	393,205	371,984	427,113	472,029	584,678	617,916	680,338	757,866	846,595	947,422
C&T revenue growth YoY %		122.5%	-5.4%	14.8%	10.5%	23.9%	5.7%	10.1%	11.4%	11.7%	11.9%
M&A organic revenue	150,307	141,458	155,182	183,345	218,366	239,860	258,119	284,212	325,507	377,718	438,933
M&A organic revenue growth YoY %		(6.7%)	1.3%	6.3%	10.8%	6.9%	5.0%	7.0%	7.0%	7.0%	7.0%
Acquired revenue — M&A	1,250	11,750	17,250	13,750	6,000	6,000	7,500	20,000	27,500	32,500	37,500
M&A total revenue	151,557	153,208	172,432	197,095	224,366	245,860	265,619	304,212	353,007	410,218	476,433
M&A revenue growth YoY %		1.1%	12.5%	14.3%	13.8%	9.6%	8.0%	14.5%	16.0%	16.2%	16.1%
C&T adj EBITDA	33,146	76,454	68,074	79,235	86,362	104,733	120,494	139,469	162,941	186,251	213,170
C&T adj EBITDA margin %	18.8%	19.4%	18.3%	18.6%	18.3%	17.9%	19.5%	20.5%	21.5%	22.0%	22.5%
M&A adj EBITDA	39,386	31,270	31,588	37,217	50,521	64,351	63,749	73,772	86,487	101,529	119,108
M&A adj EBITDA margin %	26.0%	20.4%	18.3%	18.9%	22.5%	26.2%	24.0%	24.3%	24.5%	24.8%	25.0%
Segment adj EBITDA	72,532	107,724	99,662	116,452	136,883	169,084	184,242	213,241	249,428	287,780	332,278
Corporate & other	(18,059)	(30,081)	(31,212)	(37,876)	(41,092)	(52,920)	(55,663)	(57,104)	(58,876)	(60,327)	(64,073)
Corporate & other % of revenue	(5.5%)	(5.5%)	(5.7%)	(6.1%)	(5.9%)	(6.4%)	(6.3%)	(5.8%)	(5.3%)	(4.8%)	(4.5%)
Revenues	328,243	546,413	544,416	624,208	696,395	830,538	883,535	984,551	1,110,873	1,256,813	1,423,855
Revenue growth YoY %		66.5%	-0.4%	14.7%	11.6%	19.3%	6.4%	11.4%	12.8%	13.1%	13.3%
Cost of revenues & SG&A (excl. D&A)	294,130	486,686	528,177	606,764	679,820	786,998	785,879	857,951	952,537	1,064,551	1,194,095
Fair value changes in contingencies	-	-	-	84	534	900	-	-	-	-	-
Other operating items (impairments / one-offs)	(19,850)	(24,372)	3,227	-	-	-	-	-	-	-	-
Depreciation & amortization	37,274	44,810	47,479	45,780	52,762	50,915	48,321	48,645	49,550	50,907	52,749
Operating income (EBIT)	(23,011)	(9,455)	(28,013)	(28,420)	(36,721)	11,725	49,334	77,956	108,786	141,355	177,012
Operating margin %	-7.0%	-1.7%	-5.1%	-4.6%	-5.3%	1.4%	5.6%	7.9%	9.8%	11.2%	12.4%
Adjusted EBITDA	54,476	77,642	68,450	78,576	95,788	116,164	128,579	156,137	190,552	227,453	268,205
Adj EBITDA margin %	16.6%	14.2%	12.6%	12.6%	13.8%	14.0%	14.6%	15.9%	17.2%	18.1%	18.8%
Adj EBITDA growth YoY %		42.5%	-11.8%	14.8%	21.9%	21.3%	10.7%	21.4%	22.0%	19.4%	17.9%

FY30 EBITDA	268.2
Multiple	13
EV	3486.7
Net Debt	321
MC	3165.3
s/o	44
Implied price	71.99

In our bear case, if we assume no multiple rerating, a HSD revenue CAGR instead of low-teens, and FY30 EBITDA margins of 16% (vs mgmt guide of 300bps of margin expansion over next 3 years), shares should still trade at \$32 or a 60% return over 5 years.

Risks

ONT's emergency response segment is historically volatile and comes in at lower margins than the rest of the business. This can be seen most clearly in 2021-2022 revenue, where a dramatic surge and reversal of COVID emergency response revenue distorted revenue growth numbers. Mgmt has guided emergency response revenue moving forward to be \$50-\$70mm annually, but large events could cause a similar dynamic in our projection period.

Additionally, though we believe mgmt has internalized the lessons from the 2025 pause and is guiding for bolt-ons moving forward, either a very large acquisition or a much slower pace of acquisitions would materially change our growth expectations.

Conclusions

We view ONT as compelling, "heads I lose nothing, tails I win" opportunity. The market has severely and unfairly punished the stock off the back of recent EPA/SC rulings that will result in a several net tailwinds for the company, as well as a short report that has been fully redressed. The management team is well aware of the 2021-2024 missteps and we believe the company will be able to drive several years of ~20% EBITDA growth over the next 5 years, resulting in a tripling of the stock over that time period.

I do not hold a position with the issuer such as employment, directorship, or consultancy.
I and/or others I advise hold a material investment in the issuer's securities.

Catalyst

EBITDA inflection in Q4 2026

Messages

Subject Earnings
Entry 08/05/2026 05:37 PM
Member thrive25

Hi PZGR39 — thanks for posting the ONT write-up. I went through today's Q2 release against your model. The raw revenue reset is substantial, with the FY26 midpoint now around \$765 million versus roughly \$884 million in your model, although EBITDA is holding up considerably better at \$117–120 million and the margin outlook actually increased to approximately 15.5%. Most of the bridge appears to be unusually low emergency-response activity and lower pass-through revenue, so I can see the argument that this is largely normalization of lumpy, low-contribution revenue while the operating reorganization and cost work continue. What I am less clear on is the additional \$15–25 million of "other lower revenue," the continued softness in Measurement & Analysis and the absence of a quantified organic-growth figure in the release. Did anything in the quarter materially surprise you, or do you still view the 7–9% organic-growth framework and the Q4 EBITDA inflection as intact? I would also be interested in how you interpret the strategic review and rights plan prompted by the undisclosed accumulation—incremental sale/activist optionality, or a sign that the standalone and M&A assumptions need to be revisited?

Subject Re: Earnings
Entry 08/06/2026 11:07 AM
Member PZGR39

Hi thrive25, thanks for the questions.

Starting with the \$15-\$25mm incremental decline in "other lower revenue" and the continued softness in Measurement & Analysis. This was attributed in the call to waivers granted primarily by the federal government, temporarily exempting some customers from air testing requirements. More specifically, it can be tied to **this** federal proclamation published on 7/16, exempting 20 chemical facilities for two years from a rule that previously required mandatory monitoring for a variety of chemical contaminants by July 15, 2026. Importantly for our thesis, these waivers are minor in impact and simply push the compliance deadline out to July 2028. There's also some chance of earlier recovery, as the waivers are currently under litigation. This also addresses your question about the softness in Measurement & Analysis, as the revenue impacted from those waivers falls under that segment. Adding back the \$20mm gets you to underlying organic growth of ~5% in FY27 vs FY25, which is exactly in-line with our MSD-HSD framework for LT organic growth for the segment.

On the lack of an organic growth figure in the release, our calculated result is +4% including the waiver impact, and +7.5% excluding it, vs our model's organic growth estimate of +7% in FY26 (excluding acquisitions).

	FY25	FY26E	% YoY
Gross Revenue	830.5	765	-8%
Less: ER	-77	-25	
Revenue ex-ER	753.5	740	-2%
Less: Pass-thru	-207.625	-153	
Addback: PT already in ER	27	8.8	
Core Revenue	572.875	595.8	4.0%
Addback: waiver impact		20	
Core Revenue ex-waivers	572.875	615.8	7.5%

Based on this, we believe the 7-9% organic growth framework still stands and that Q4 guidance is both realistic and achievable, assuming Q3 lands within the guided range. It implies Q4 revenue of \$185-\$220mm and EBITDA of \$32-36mm (14%-18% margin), vs Q3's guide of \$190-210mm in revenue and \$32-\$36mm in EBITDA (17-18% margin).

On our reaction to the strategic review and rights plan, we believe this is likely in response to potential acquirer/activist interest and less a rework of the strategy. This would validate our thesis on the valuation dislocation vs peers, but also would likely slow down planned restart of acquisitions this year. Assuming a 12x EV/EBITDA acquisition multiple on our bear case FY27E EBITDA of \$140mm would result in a share price in the high-30s to low-40s. Wish we had a more informed take here, but that's all we can offer for now.

Obviously the guidance cut was not what we had hoped to see, but we think the selloff today is a dramatic overreaction on what is a now substantially derisked name, and our core points on organic growth and margin expansion have been largely validated. Hope that answered your questions.